

And that's the Dhandho framework. To summarize:

- Invest in existing businesses.
- Invest in simple businesses.
- Invest in distressed businesses in distressed industries.
- Invest in businesses with durable moats.
- Few bets, big bets, and infrequent bets.
- Fixate on arbitrage.
- Margin of safety—always.
- Invest in low-risk, high-uncertainty businesses.
- Invest in the copycats rather than the innovators.